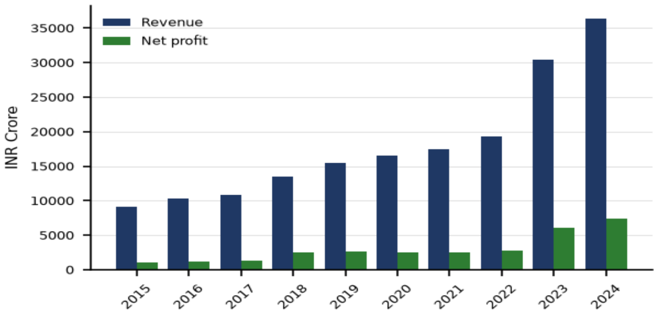
Shriram Finance Ltd

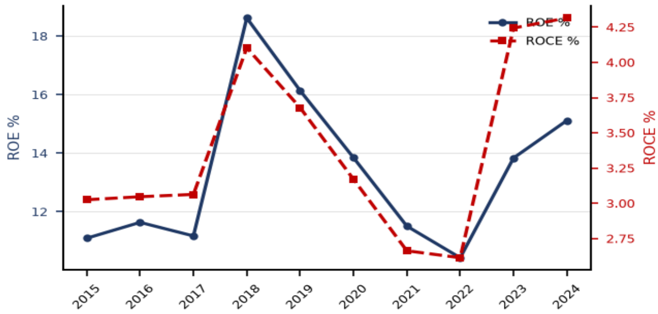
SHRIRAMFIN
Financials

Key metrics

ROE	ROCE	Net profit margin
15.1%	**4.3%**	**20.3%**
Debt / Equity	Revenue CAGR 5y	Free cash flow
3.99	**18.6%**	**-31,359 Cr**

Revenue, profit and returns





Latest period Mar 2024. 12 years of history available. All figures in INR Crore.

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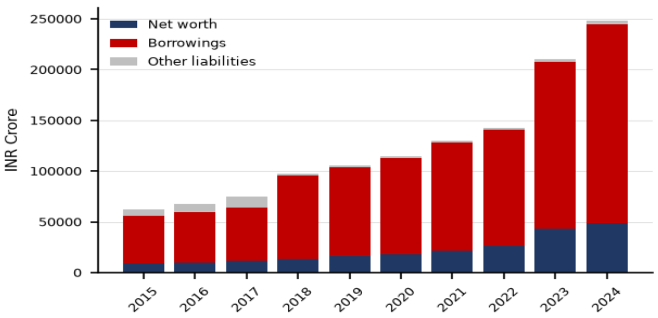
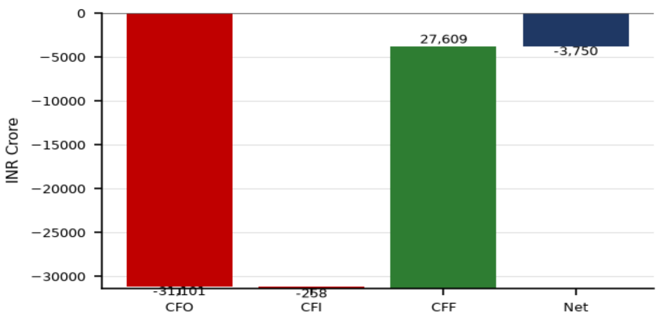
Balance sheet and cash flow





Capital allocation: Growth Funded by Debt

Pros

- Revenue growing slower than profits shows improving operating leverage and scale benefits (73%)
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (70%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (67%)
- Operating profit margin above 25% indicates strong pricing power and cost discipline (66%)

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (100%)
- Net debt at 17.7 times EBITDA is a high leverage ratio and limits financial flexibility (100%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (83%)
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (82%)

Pros and cons are generated from the Sprint 5 rule engine. Percentages are rule confidence, not probability of outcome. Valuation inputs are simulated data.